

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-02

NANCY PRIOR

COMPLAINANT,

v.

AMOOV GROUP, FREIGHTLEAD LLC, AIR 7 SEAS
TRANSPORT LOGISTICS, INC.

RESPONDENT.

**RESPONDENT FREIGHTLEAD’S MOTION TO DISMISS COMPLAINANT’S
SECOND AMENDED COMPLAINT.**

Respondent Freightlead LLC (“Respondent” or “Freightlead”), pursuant to 46 CFR §502.70, files this Motion to Dismiss (“MTD”) Complainant’s Second Amended Complaint. For the reasons more fully explained below, Complainant’s Second Amended Complaint should be dismissed.

I. PROCEDURAL HISTORY

On December 22, 2025, Complainant Ms. Nancy Prior (“Complainant” or “Ms. Prior”) filed a Complaint (“the Original Complaint”), against Freightlead and two other Respondents, Amoov Group (“Amoov”) and Air 7 Seas Transport Logistics, Inc. (7 Seas”). On February 6, 2026, Complainant filed an Amended Complaint and Status Report. On March 3, 2026, Respondent filed an Opposition to Complainant’s Motion for Entry of Default and a Motion to

Dismiss. (Doc. 14), which Complainant opposed. On June 30, 2026, the presiding Administrative Law Judge (“ALJ”), issued an Order, which, among other things, denied Respondent Freightlead’s MTD without prejudice and directed Complainant to file a Second Amended Complaint. On July 13, 2026, Complainant filed Second Amended Complaint.

II. COMPLAINANT’S SECOND AMENDED COMPLAINT

In its Second Amended Complaint, Complainant alleges that in mid-2025, it “entered into a contract with AMOOV Group for door-to-door carriage of Complainant’s household goods from Luxembourg to Fort Lauderdale, Florida, and paid AMOOV Group in full for that service.” Second Amended Complaint at 3. Complainant further alleged that, **“Complainant contracted solely with AMOOV Group and had no contractual relationship with FreightLead or Air 7 Seas.”** Id. at 3. (Emphasis added). Complainant stated that AMOOV had informed Complainant of her shipment’s ETA, which was transmitted by Freightlead, the same day after Complainant filed her FMC complaint. This information included the vessel’s name, voyage number, origin-destination points, container number, and Hapag-Lloyd’s bill of lading. Second Amended Complaint at 3.

With respect to Complainant’s search for her cargo, the Second Amended Complaint alleges that a five-week period passed with no cargo delivery, and that Complainant kept asking AMOOV for the status and location of the cargo. Second Amended Complaint at 3. On November 12, 2025, Complainant received a redacted invoice on Freightlead letterhead transmitted by AMOOV with tracking details blacked out. Id. The Second Amended Complaint also referenced Ms. Priors’ representative had visited Freightlead’s office on November 13, 2025, and by mid-November 2025, AMOOV stopped responding, and on January 16, 2026, AMOOV began insolvency proceedings in Hong Kong. Id at 4.

The Second Amended Complaint further alleged that Respondent's staff referred Complainant to "Nelson" at 7 Seas as the contact concerning her shipment, and that Freightlead provided no shipping documentation. *Id.* At 4. The Second Amended Complaint also stated that beginning November 13, 2025, Complainant contacted Nelson at 7 Seas requesting release of the cargo and production of shipping documentation. *Id.* Complainant alleged that 7 Seas demanded that Complainant pay for the release of her cargo, but stated two different amounts, with no explanation for the discrepancy, and provided no documentation supporting either amount. *Id.* 4-5. Finally on 7 Seas demand for payment, Complainant alleged that it had no contractual relationship with 7 Seas and no obligation to pay any charge owed by AMOOV to Air 7 Seas. *Id.* at 5.

The Second Amended Complaint alleged that after it filed its formal complaint with the FMC, Complainant's cargo was released upon payment to Lifestyle Moving and Storage, and that Complainant made no payment to 7 Seas, and Complainant's demand for \$22,580.00 in damages was not paid by Complainant to any party. Second Amended Complaint at 5.

III. LEGAL STANDARD AND RELEVANT LAW

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances not covered by the Commission's Rules to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014

WL 531634 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC Aug. 1, 2011); See also, *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). “When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2 F.M.C.2d at 203 (citing *Kerns v. United States*, 585 F.3d 187, 192–93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true, and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54 (FMC Dec. 18, 2015). Also, the Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”)).

Mitsui, 2011 WL 7144008 at *12.

While a “formulaic recitation of the elements of a cause of action” is not sufficient, “[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009). Meeting the plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556. At the motion to dismiss stage, the “choice between two plausible inferences that may

be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). The Commission explains: “Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell*, 2014 WL 531634 at *6, 33 S.R.R. at 620-621 (citations omitted).

Accordingly, Freightlead submits that Complainant has failed to plead sufficient factual allegations in the Second Amended Complaint to support its violation of §41104 (c), and therefore it should be dismissed.

IV. ARGUMENT

As stated above, the Second Amended Complaint does not include enough plausible factual allegations to support a claim for relief under §41104 (c) of the Shipping Act against Respondent Freightlead and should be dismissed. In its Second Amended Complaint, complainant concedes that it had no contractual relationship with Freightlead, and that Freightlead’s role was limited to drayage from the terminal at destination to a designated warehouse.

a. Under the Shipping Act, Complainant Has the Burden of Proof

As recently stated in FMC Docket No. 2040(I), to prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” See *John Bartolini Miragrown Logistics Corporation DBA Lucky Consol, Inc.*, FMC Dkt. 2042(I), (ALJ May 7, 2026) (“*Bartolini*”) citing (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502, (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)). Here, the Second

Amended Complaint asserts a claim for relief under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4.¹ The Second Amended Complaint only alleges a violation of section 41102(c) regarding unreasonable practices but failed to demonstrate the required elements for a violation of § 41102(c).

b. The Second Amended Complaint fails to allege and demonstrate the required elements for a violation of § 41102(c).

The Second Amended Complaint alleges that Respondent Freightlead is an FMC licensed OTI, and that Freightlead and “each Respondent participated in the receiving, handling, storing, or delivering of Complainant’s property as set forth above.” Second Amended Complaint at 6. Section 41102(c) states: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission has identified five factors required to establish a violation of this section. 46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

As more fully addressed below, the Second Amended Complaint fails to plead the required sufficient facts to support the elements of its 41104 (c) claim. See 46 C.F.R.

¹ 46 C.F.R. § 545.4, which is intended to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c). (unjust and unreasonable practices) and § 545.4(d) in the context of demurrage and detention.

§ 545.4

1. Regulated Entity

The Second Amended Complaint alleges that under § 545.4, Freightlead is a licensed NVOCC and, along with other Respondents, “participated in the receiving, handling, storing, or delivering of Complainant’s property as set forth above.” Second Amended Complaint at 6. (Element One). In addition, the Second Amended Complaint stated that, “FreightLead received Complainant’s container from the terminal, stripped the cargo, and transported it to a warehouse.” Second Amended Complaint at 6. (Element Three).

Freightlead concedes that it is an FMC licensed NVOCC and holds out as such to the shipping public by virtue of its FMC OTI license. However, although Freightlead is an FMC licensed OTI NVOCC, it did not act in that capacity for the shipment subject of Complainant’s Second Amended Complaint. Freightlead’s role in Ms. Prior’s shipment was limited to that of a delivery agent--consignee or destination agent, which included receiving Complainant’s container from the terminal, and transporting them to a warehouse. Second Amended Complaint at 6. Further, Complainant stated in its Second Amended Complaint that Complainant contracted solely with AMOOV and had no contractual relationship with Freightlead. Second Amended Complaint at 3. This admission supports Respondent’s MTD.

The *Bartolinit* case cited above, addressed similar issues as here. Complainant here alleges that Respondent Freightlead, a licensed registered OTI, violated 46 U.S.C. § 41102(c). § 41102(c) requires conduct by a regulated entity, either a common carrier, marine terminal operator (“MTO”), or an ocean transportation intermediary (“OTI”). Section 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with

receiving, handling, storing, or delivering property.” (46 U.S.C. § 41102(c)). *Id.* at 11. Here, complainant alleges that Respondent Freightlead is a licensed OTI NVOCC and asserts that as a basis for jurisdiction. Second Amended Complaint at 2. However, as stated in Bartolini:

It is not enough, however, for a respondent to be registered with the Commission as an NVOCC for the Commission to have jurisdiction. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not an MTO as to a dispute arising out of the city’s fish dock); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”)). Claims against non-regulated entities are appropriately dismissed.

Citing, *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (notice not to review, Jul. 3, 2025).

In another FMC case, like Bartolini, the ALJ stated:

To conclude that an entity operated as an NVOCC for a shipment, the entity must meet the Shipping Act’s definition of common carrier; that is, it must hold itself out to the general public to provide transportation by water of cargo between the United States and a foreign country for compensation, **assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation**, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001).

Phillip Marciano LLC v. U.S. Cargo Servs, Inc., Dkt. No. 25-11, 2025 WL 3732714 at *14. (ALJ Dec. 16, 2025) (notice not to review Jan. 16, 2026)

Here, as in *Marciano and Bartolini*, the Second Amended Complaint makes a bare allegation that Freightlead was an NVOCC. As noted above, Freightlead agrees it is a licensed NVOCC—but not for Ms. Prior’s shipment, as it did not act like a common carrier NVOCC as that term is defined by the Shipping Act. As in the FMC *Marciano and Bartolini* case, the Second Amended Complaint does not plausibly allege or allege at all that Freightlead assumed

responsibility for the transportation of Ms. Prior's shipment from origin to destination. This is supported by Complainant's admission that it "contracted solely with AMOOV and had no contractual relationship with Freightlead or Air 7 Seas." Second Amended Complaint at 3. Freightlead submits that the Second Amended Complaint alleges that, for these shipments, Freightlead was, at most, a destination agent-delivery agent or consignee.

Complainant states in its Second Amended Complaint that, "FreightLead received Complainant's container from the terminal, stripped the cargo, and transported it to a warehouse." Second Amended Complaint at 6. Freightlead argues that these activities described by Complainant do not amount to a plausible allegation that Freightlead assumed responsibility for Ms. Prior's shipment through its ocean transportation from origin to destination. As the ALJ correctly noted in *Marciano*, "merely acting as a consignee or delivery agent, without more, is not enough to make an entity an NVOCC." *Marciano* at 9.

Finally, as explained in *Marciano*, "receiving goods, releasing goods at the shipper's instructions, having a relationship, or even accepting payment do not necessarily mean that an entity was acting as an NVOCC or a regulated entity for a particular shipment. It is not the contractual relationship that is the key finding, **it is whether or not US Cargo acted as an NVOCC and assumed responsibility for these shipments from receipt to destination.**" *Id.* (Emphasis added) Here, as in *Marciano* and *Bartolini*, because Freightlead was merely the consignee-destination agent, it did not assume responsibility and did not meet the Shipping Act's requirements. Therefore, Freightlead submits that this element is not plausibly alleged.

2. Normal, Customary, Continuous Basis

Complainant alleges that, "the acts and omissions occurred on a normal, customary, and continuous basis. The Second Amended Complaint references only one shipment, and that

“Respondents continuously withheld Complainant’s cargo and withheld shipping documentation, reflecting the manner in which they handled Complainant’s shipment throughout that period.” Second Amended Complaint at 6. Freightlead submits that the factual allegations in the Second Amended Complaint regarding one shipment does not satisfy the “normal, customary, and continuous” element of § 41102(c). As noted in the *Marciano* case, that evidence of unjust and unreasonable acts regarding three shipments by a Respondent does not rise to a level constituting a “regulation and practice” as described by the Commission. *Marciano* at 3. Here, Complainant alleges that Respondents—“continuously withheld Complainant’s cargo and withheld shipping documentation, reflecting the manner in which they handled Complainant’s shipment throughout that period.” Second Amended Complaint at 6. Respondent Freightlead submits that Complainant’s allegation regarding “one shipment” does not satisfy the “normal, customary, and continuous” element of § 41102(c).

3. Receiving, Handling, Storing, or Delivering Property

The Second Amended Complaint alleges that the practices complained of relate directly to the receiving, handling, storing, and delivering of Complainant’s property. FreightLead argues that the Second Amended Complaint correctly states that it was only involved in Complainant’s shipment after the ocean transportation terminated and when it “received Complainant’s container from the terminal and transported it to a warehouse.” Second Amended Complaint at 6. In addition, Freightlead’s receiving Complainant’s shipment was not part of an NVOCC move but as explained above—as a destination agent—stripping the cargo and arranging for drayage to a warehouse. Freightlead submits that this element of “receiving, handling, storing, or delivering property” is also not sufficiently pled in the Second Amended Complaint.

4. Reasonableness

Complainant alleges in its Second Amended Complaint that Respondents’ “practice was unjust and unreasonable.” Second Amended Complaint at 6. The Second Amended Complaint does not attribute or allege any unfair or unreasonable conduct or activities relating to the withholding of cargo by Freightlead. In the Second Amended Complaint, Complainant alleges that, “FreightLead received Complainant’s container from the terminal, stripped the cargo, and transported it to a warehouse.” Second Amended Complaint at 6. Taking the allegations in the Second Amended Complaint as true, it does not plausibly allege that Freightlead acted unreasonably. Accordingly, this element is not met.

5. Proximate Cause

The Second Amended Complaint alleges that Respondents’ practices were the proximate cause of Complainant’s documented losses and seeks additional amounts pursuant to 46 U.S.C. § 41305(c). Second Amended Complaint at 13. As stated in *Marciano*, to prove a claim for reparations, ‘a party must show that it is entitled to receive reparations by showing that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with “reasonable certainty.’ Id. citing *Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 26 S.R.R. 11, 25, 1991 WL 383091, at *23 (ALJ Sept. 18, 1991); *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1230 1990 WL 427466 (FMC Oct. 19, 1990).

Here, the Second Amended Complaint does not plausibly allege that Freightlead acted as an NVOCC for Complainant’s shipments, that it engaged in practices on a normal, customary, and continuous basis or that Freightlead’s practices were unreasonable; or that Freightlead was the proximate cause of alleged loss. Therefore, the element of proximate cause is not sufficiently pled in the Second Amended Complaint.

Conclusion

For the foregoing reasons, the Respondent Freightlead respectfully requests that Complainant's Second Amended Complaint in this proceeding be dismissed with prejudice.

Respectfully Submitted



Respectfully submitted,
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Dated: July 28, 2026

CERTIFICATE OF SERVICE

I certify that on July 28, 2026, the foregoing Respondent's Motion to Dismiss was served via electronic mail on:

Complainant Nancy Prior: nancyrprior@gmail.com

Counsel for Respondent Air 7 Seas Logistics: bec@cargolaw.com

Respondent Amoov Group: connect@amoovgroup.com

/s/ Henry P. Gonzalez

Dated: July 28, 2026